Tax News & Insights

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Loss carry-back, IAWO & negative gearing grandfathering concessions for family changes – now law

On 26 August 2026, the *Treasury Laws Amendment (Tax Reform No. 2) Bill 2026* ("Bill 2") received Royal Assent as Act No 71 of 2026. The Act contains the following key measures:

- **Loss carry-back tax offset** – a corporate entity that is not a significant global entity can carry back a tax loss for an income year and apply it against tax paid in either or both of the previous two income years to receive a refundable tax offset (capped at franking account balance at end of the year in which the offset is claimed). Applies for income years commencing on or after 1 July 2026.

- **Small business** - the $20,000 small business instant asset write-off (IAWO) threshold has been made permanent for assets that are first used (or installed ready for use) for a taxable purpose after 1 July 2026 and the low value pool threshold for small business entities has been permanently set to $20,000 for income years that start on or after 1 July 2026.

- **Negative gearing & CGT grandfathering for property acquired through family changes** – where property ownership changes due to inheritance from a spouse (or former spouse) or co-owner or due to a relationship breakdown:

    - Grandfathering concessions for negative gearing will be preserved
    - Affected taxpayers can choose between applying CGT discount or cost base indexation and the minimum tax on capital gains

Lump sum payment in arrears – derivation and Division 293 implications – Munro v FC of T

In *Munro v FC of T* [2026] ARTA 1653, the Administrative Review Tribunal held that a taxpayer who received a lump sum payment in arrears for underpaid wages from his employer which caused him to exceed the Division 293 tax threshold in the year of receipt was liable to pay Division 293 tax in that year. This was despite the fact that the underpaid wages were due to the employer 's wrongdoing and the Division 293 tax threshold would not have been exceeded had the underpaid wages been correctly paid in the respective income years to which they relate. The case serves as a timely reminder that:

- A lump sum payment in arrears ("LSPIA") for employment income is assessable in the year you receive the payment regardless of which previous income year the amount relates to (though some relief may be available through the LSPIA tax offset and Medicare Levy exemptions)

- The Division 293 tax threshold is based on income derived during the year and there is no express or implicit Commissioner discretion under Division 293 to alter, reduce, remove, disregard or allocate an amount to another financial year.

Standard deduction for work-related expenses – ATO guidance

On 26 August 2026, the ATO released draft Law Companion Ruling LCR 2026/D5 in respect of the standard deduction for work-related expenses applicable from 1 July 2026. Broadly, section 25-130 of the ITAA 1997 provides for a standard deduction of up to $1,000 for an income year for work-related expenses for individuals who are Australian tax residents and derive assessable labour income without the need for substantiation. Taxpayers with more than $1,000 in genuine work-related expenses may continue to claim them and substantiate their expenses – in this case, their standard deduction is reduced dollar-to-dollar by those deductions and may be reduced to zero. Key points from LCR 2026/D5 are outlined below.

- **Deductions that reduce the standard deduction amount** – to ensure there is no double counting of work-related expenses, the standard deduction amount is reduced by various expenses incurred in gaining or producing assessable labour income, including self-education expenses, expenses for compulsory work uniforms and occupational clothing, working from home expenses, work-related travel expenses, other expenses incurred in gaining or producing assessable labour income, car expenses, travel between workplaces expenses under section 25-100, tax depreciation and COVID-19 test expenses.

- **Deductions that do not reduce the standard deduction** – these include income protection insurance premiums, personal sickness insurance premiums, accident insurance premiums and any payment made for membership of a trade, business or professional association (e.g. union). Deductions that do not relate to the derivation of assessable labour income (e.g. relating to investment income, charitable donations, management of tax affairs) do not reduce the standard deduction.

- **How the standard deduction works in practice** – ATO calculates this based on information in lodged individual tax return. No additional disclosures or substantiation required from the taxpayer.

    - If your work-related expenses (see above in deductions that reduce the standard deduction amount) are less than or equal to the standard deduction, then you can choose not to claim these work-related expenses and the ATO will apply the standard deduction without any reduction.

    - If your work-related expenses are greater than the standard deduction, there are two options:

        - *Option 1* – do not claim these work-related expenses and have the ATO apply the standard deduction. If you claim expenses that do not reduce the standard deduction, these must be substantiated e.g. tax adviser fees.

        - *Option 2* – claim these work-related expenses in your tax return and the standard deduction is reduced accordingly (possibly to nil). Need to substantiate full amount (not just the amount above the standard deduction amount).

- **Interaction of the standard deduction with capital allowance rules in Division 40** – an amount you deduct for the decline in value of a depreciating asset used for the purpose of gaining or producing assessable labour income reduces your standard deduction. A reasonable apportionment is required if the asset is also used for another taxable purpose (in which case, you can claim capital allowances separate to standard deduction) and/or private purpose (not claimable).

  As substantiation is not required for the standard deduction amount, you can choose to use either a fixed 50% rate reduction for balancing adjustment calculations where certain assets have been partially privately used or the usual balancing adjustment formula.

- **Interaction of the standard deduction with FBT rules for employers** – for FBT years starting on or after 1 April 2027, amendments have been made to the "otherwise deductible rule" and provision of certain work-related items exemption (portable electronic device, computer software, protective clothing, briefcase and tool of trade) to ensure the standard deduction cannot be combined with salary packing arrangements entered into by an employee with an employer that could result in a 'double tax' benefit.

Extension of Australia's foreign resident CGT regime – passed House of Reps

The *Treasury Laws Amendment (Strengthening Accountability for Tax Adviser Misconduct and Other Measures) Bill* 2026 contains a wide range of measures, including measures to extend Australia's foreign resident CGT regime to tax gains made by foreign residents on such things as licences or contractual arrangements for data centres, renewable energy assets, substations, toll roads, bridges, car parks, ports, pipelines, mining plant and equipment and water entitlements. This is on the basis that such investments fit within the proposed new definitions of 'real property' and Taxable Australian Real Property.

The Bill was introduced into the House of Representatives on 2 July 2026 and passed through the House on 20 August 2026. The Bill removed the retrospective application of the changes back to 12 December 2006 as proposed in the earlier Exposure Draft legislation. Nevertheless, existing arrangements are not grandfathered and therefore subject to the new regime.

To lessen the impact of the changes on foreign investors in renewable energy assets, the Bill introduces a 50% CGT discount for foreign resident investors on gains from eligible Australian renewable energy assets until 30 June 2040. The discount is only available to foreign residents that are not individuals (e.g. foreign companies and foreign trusts).

The above reforms commence on the first 1 January, 1 April, 1 July or 1 October to occur after Royal Assent. These changes will affect a wide range of stakeholders, including foreign investors, investors in mining, infrastructure, forestry and agriculture sectors, managed funds, custodians and other investment intermediaries.

Contact

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